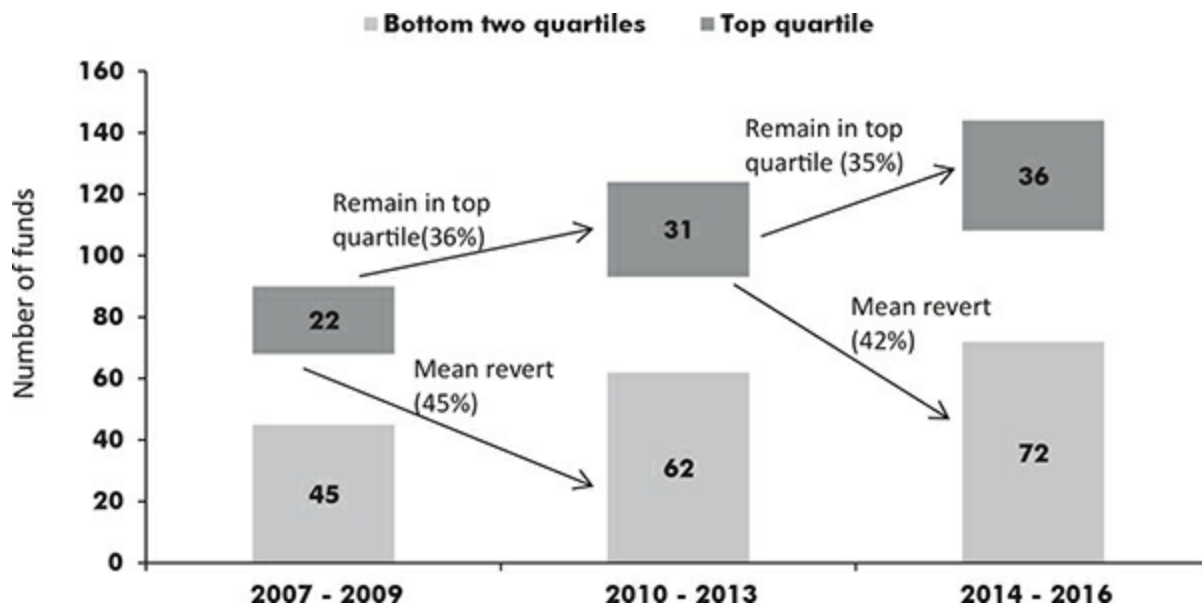


Exhibit 27: The leading mutual funds lack the consistency to keep outperforming peers



Source: www.mutualfundindia.com, Ambit Capital

Of the twenty-two funds that were in the top 25 per cent (or a quartile) in terms of their performance between FY2007–09, only 36 per cent (approximately one-third) remained in the top quartile over the subsequent three-year period, FY2010–13. Almost half of them (45 per cent) ended up in the bottom two quartiles of performance or in the bottom 50 per cent.

The same story played out in the next phase. Approximately one-third (35 per cent) of the top performing funds in FY2010–13 retained their place in the top quartile over FY2014–16. Around 42 per cent again ended up in the bottom two quartiles. This indicates that, of the twenty-two funds, only two to three maintained consistency in their performance over FY2007–16.

We can thus conclude that not only has the outperformance of large-cap equity mutual funds as an asset class more or less vanished, but there is randomness even in the relative performance of mutual funds. The inconsistency in the mutual funds' relative performance also shows us why the past performance of a fund does not indicate future outperformance. All this is compelling evidence that the Indian market is becoming more efficient.